

we will regret the Rs 5 loss on stock A at least as significantly (if not more) as we would rejoice in the gain of Rs 10. Hence, by this logic, for an investor to stop regretting investments in equity markets, his probability of generating profits needs to be at least twice as much as the probability of generating losses.

As shown in [Exhibit 15](#) in Chapter 2 (replicated again below), the probability of a positive return from BSE Sensex over the past thirty years (1987–2017) has risen exponentially as we increase the holding period from one month to ten years. Given Benartzi and Thaler's framework, to understand at what point investors lose their regret about investing in equities, we simply need to look for where in the chart below is the probability of generating profits twice as much as the probability of generating losses. This inflection point for BSE Sensex is the one-year holding period, when the probability of generating gains was 68 per cent and the probability of generating losses was 32 per cent.